

MARKET STRUCTURE TRADING FRAMEWORK

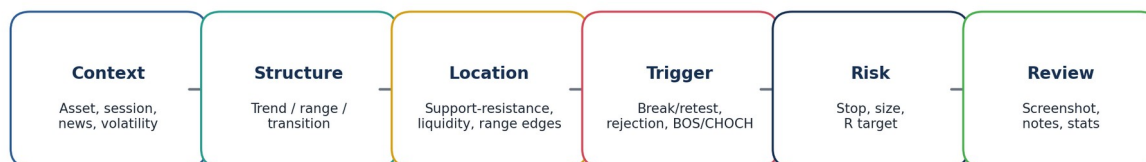
Beginner-to-Expert Training Outline for Reading Price, Trend, Ranges, and Risk

A practical, structured roadmap for traders who want to move from simple swing recognition to multi-timeframe execution, playbook design, and disciplined risk control.

Beginner	Intermediate	Expert
Learn the language of price: swings, trend, range, and zones.	Refine the map: major vs. minor structure, BOS/CHOCH, multi-timeframe alignment.	Build the business: objective playbooks, execution data, risk limits, and process discipline.

Educational use only. This framework is for training and process development. It is not investment advice, it does not guarantee performance, and it should be used with simulation, journaling, and strict risk controls before any live deployment.

Trade Decision Workflow



The trade is valid only if every box agrees. Skip any setup with missing structure, unclear invalidation, or forced timing.

A structured trader moves from context to review in a repeatable sequence.

How to use this framework

Treat this document as a progression, not a menu. Most traders stall because they jump into advanced jargon before they can objectively mark a trend, a range, a swing high, or a valid invalidation level.

- 1. Read the TL;DR first. It gives the shortest useful explanation for each skill level.
- 2. Master one layer at a time: structure recognition first, execution refinement second, advanced playbook design third.
- 3. Use the illustrations to build a visual vocabulary, then apply the checklists in replay or paper trading.
- 4. Write down your rules. If a concept cannot be stated in a sentence that another trader can test, it is not yet a rule.

Terminology note. Terms such as BOS, CHOCH, market structure shift, liquidity sweep, premium/discount, and order flow are widely used by discretionary traders, but definitions vary across communities. Use terms only if you can define them in a precise, testable way inside your own playbook.

Document roadmap

Section	Purpose
1. TL;DR summary	Fast explanation of what beginners, intermediate traders, and experts should focus on.
2. Core concepts	The three market states, swing logic, support/resistance, major vs. minor structure, and structural shifts.
3. Beginner track	How to read price action, identify trend and range, and avoid common chart-reading mistakes.
4. Intermediate track	How to combine structure, location, and multi-timeframe alignment into specific entry models.
5. Expert track	How to build objective playbooks, manage execution quality, and think in portfolios, regimes, and data.
6. Risk & psychology	Position sizing, loss handling, leverage awareness, discipline, and process protection.
7. Training plan & templates	A 12-week development path, plus pre-trade and post-trade review tools.

TL;DR: what matters at each level

Level	Primary focus	Key rule	TL;DR
Beginner	Focus on chart cleanliness, swing highs/lows, trend vs. range, and support/resistance zones.	Trade only obvious structure. If the state is unclear, do nothing.	A trade idea is valid only if you know where you are wrong before entry.

Intermediate	Focus on major vs. minor structure, breakout vs. false break, BOS vs. shift, and timeframe alignment.	Do not take a lower-timeframe trigger that fights the higher-timeframe map.	The best entries happen when context, location, trigger, and invalidation all line up.
Expert	Focus on regime classification, playbook statistics, volatility, execution quality, and risk-of-ruin control.	Do not confuse more jargon with more edge. Objective repeatability beats clever chart narration.	Your real edge is the combination of rules, sizing, review quality, and the ability to protect capital.

One-sentence summary. Beginners learn to identify clean structure. Intermediate traders learn to time and filter structure. Expert traders learn to systematize structure, risk, and review.

Core concepts

Market structure is the visible organization of price movement over time. At the simplest level, a chart is either trending higher, trending lower, or rotating inside a range. Everything else is a refinement of that observation.

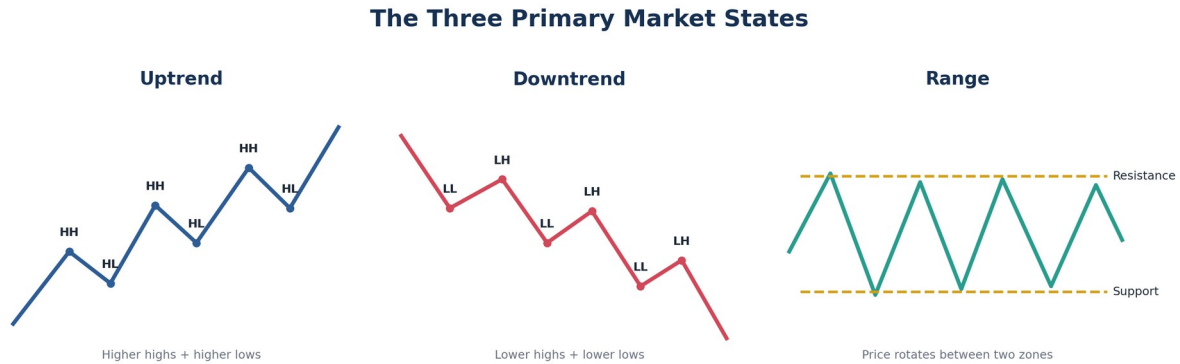


Figure 1. The three primary states: trend up, trend down, and range.

Core vocabulary

Term	Working meaning
Price action	The raw movement of price shown by candles or bars. It is the base layer before indicators.
Swing high / swing low	A local turning point where price rejected and rotated. Swings define structure.
HH / HL / LH / LL	Higher high, higher low, lower high, lower low. These form the basic grammar of trends.
Support / resistance zone	Areas where price previously reacted. Use zones rather than pretending the market is precise to a single tick.
Impulse / pullback	The strong directional leg and the corrective leg. Impulse shows control; pullback shows response.
Range	A rotation between boundaries where neither side has decisive control.
BOS	A structural break in the direction of the current move, often used as a continuation signal.
CHOCH / MSS	A break of the prior protected swing that suggests control may be changing.
Invalidation	The price point or zone that proves the trade idea is wrong.
R-multiple	Profit or loss measured relative to the initial risk. +2R means the trade made twice the amount risked.

The hierarchy of swings

Not every swing matters equally. A common mistake is treating every zig-zag as a new trend. Higher-level structure sets the directional bias; lower-level structure refines entry timing and stop placement.

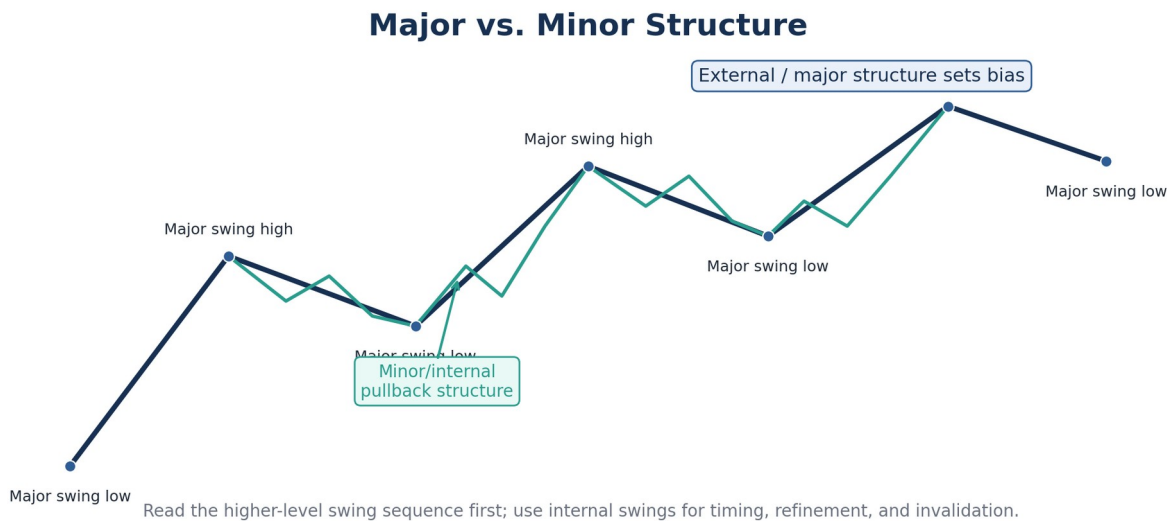


Figure 2. External structure sets bias; internal structure helps refine timing.

Structure shift: continuation vs. warning

A good framework separates continuation from change. A continuation break extends the current path of least resistance. A structure shift is the first serious warning that the prior sequence may be failing. Neither label is useful unless the protected swing is defined in advance.

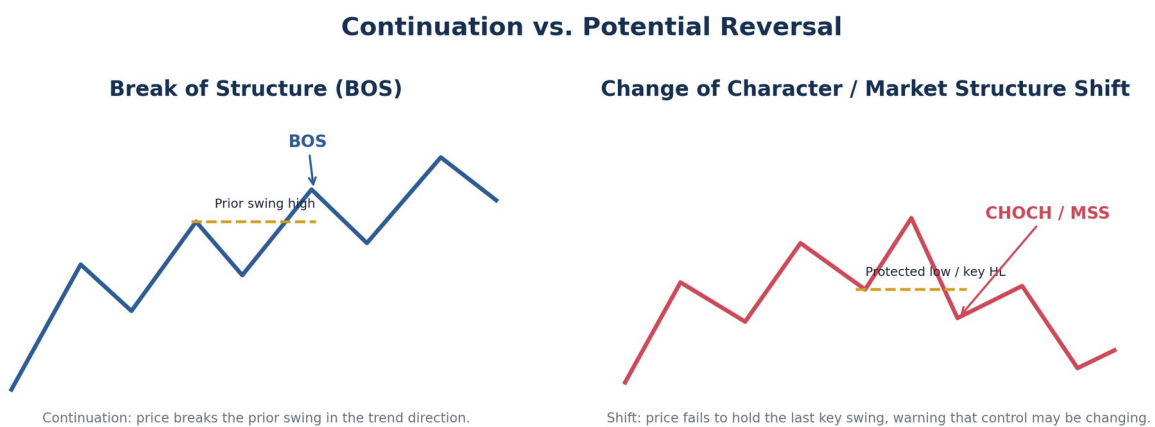


Figure 3. BOS is usually treated as continuation; CHOCH/MSS is usually treated as an early warning of change.

Non-negotiable structural principles

- Always identify the market state first: uptrend, downtrend, or range. Most bad trades begin with this step being skipped.

- Trade location matters as much as direction. A buy inside a bullish trend is weak if it is taken directly into major resistance.
- Structure is a map, not a prophecy. Price can fail, gap, overshoot, or reverse with no obligation to respect your drawing.
- Zones are more realistic than lines. Markets often react around an area, not at a mathematically perfect price.
- Your stop should sit beyond the structure that invalidates the idea, not wherever a fixed dollar number feels comfortable.

Beginner track: build visual fluency first

Beginner TL;DR. A new trader's job is not to predict every move. It is to identify whether price is trending, ranging, or unclear, then to act only when the chart state is obvious.

1) Read the chart before reading indicators

At the beginner stage, indicators should be secondary. First answer these questions using price alone:

- Where are the most recent obvious swing highs and swing lows?
- Is the market making a clear HH/HL sequence, a clear LH/LL sequence, or neither?
- Is price near a major reaction zone or in the middle of nowhere?
- If I am wrong, what exact swing or zone will prove it?

2) Understand candle information without overcomplicating it

Candle feature	What it often suggests	How beginners should use it
Large body close	Urgent directional participation	Respect momentum, but do not chase extended candles into obvious barriers.
Long wick rejection	Price tested and was rejected	Useful only when it happens at a meaningful zone.
Small indecisive candle	Compression or balance	Wait for clarity instead of forcing a trade.
Cluster of rejections	Repeated defense of an area	Mark it as a zone and wait for either rejection or acceptance.

3) The beginner decision sequence

1. Open one clean chart with no clutter.
2. Mark the most obvious swing highs and lows.
3. Label the market state: uptrend, downtrend, range, or unclear.
4. Draw the nearest support and resistance zones.
5. Wait for price to reach a location that matters.

6. Enter only if the stop can be placed beyond a logical structural invalidation.
7. Record the trade idea before entry so the chart cannot be rewritten afterward.

4) Beginner setups worth practicing

Setup	What it looks like	When to skip it
Trend pullback	Uptrend pulls back toward support or a prior higher low; downtrend pulls back toward resistance or a prior lower high.	Skip if price is entering a major opposing zone or the pullback becomes a full structure failure.
Range reaction	Price rotates near the edge of a well-defined range and shows rejection or acceptance.	Skip if the range boundaries are messy or if price is in the center of the range.
Breakout-retest	Price breaks a well-observed boundary, then retests it from the other side.	Skip if the breakout candle is exhausted or the level was not structurally important.

5) Common beginner mistakes

- Changing the trend label every time a candle closes in the opposite direction.
- Drawing too many levels and then treating every touch as a signal.
- Buying resistance because the chart 'feels bullish' or selling support because the chart 'looks weak'.
- Using a very low timeframe without first understanding the higher-level context.
- Putting stops inside noise instead of beyond structure.
- Taking trades in the middle of a range where reward is compressed and direction is unclear.
- Reviewing only winning trades instead of studying execution errors.
- Confusing activity with progress. More trades do not equal more learning.

6) Beginner minimum standards

Rule	Minimum standard
Markets followed	Start with one or two instruments only.
Timeframes	Use one higher timeframe for context and one lower timeframe for execution.
Risk	Keep risk small and fixed per trade; reduce further while learning.
Journal	Capture entry reason, stop, target, screenshot, and rule adherence.
Goal	Accuracy of chart reading and rule adherence, not daily profit.

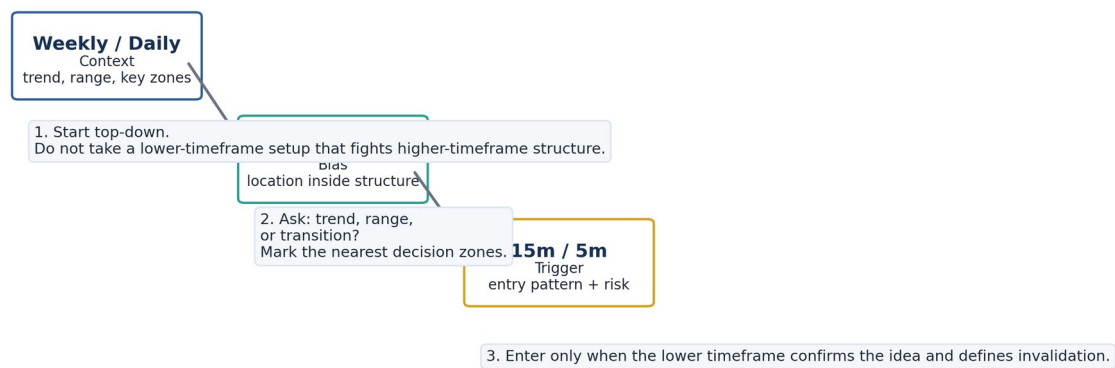
Intermediate track: connect context, location, and trigger

Intermediate TL;DR. Once you can identify the market state consistently, the next step is not 'more indicators'—it is better alignment between higher-timeframe context, the location of price inside structure, and the trigger you use to enter.

1) Multi-timeframe alignment

A practical structure framework is top-down. Higher timeframes tell you the map. Lower timeframes tell you whether a clean entry exists right now.

Top-Down Multi-Timeframe Alignment



Higher timeframes provide context; lower timeframes provide precision.

Figure 4. Use higher timeframes for context and lower timeframes for precision.

Timeframe role	Questions to answer
Higher timeframe	Is the market trending, ranging, or transitioning? Where are the major swing points and key zones?
Execution timeframe	Is price entering a meaningful area? Is there a clear trigger, a clean stop, and enough room to target?
Review layer	Did the lower-timeframe entry agree with the higher-timeframe narrative, or did it fight it?

2) Major structure vs. minor structure

Intermediate traders stop reacting to every micro move. They learn to identify which swing is the one that must hold for the current idea to remain valid.

- Major structure answers direction and bias.
- Minor structure answers timing and refinement.
- A small counter-move inside a strong trend is not automatically a reversal.

- A true shift usually requires a failure at a more meaningful structural level than a random intrabar wobble.

3) BOS, CHOC, and practical structure logic

Use structural labels only if they improve your decision quality. A continuation break should keep you aligned with the trend. A change-of-character label should force you to ask whether the last protected swing has failed and whether the market is entering a new phase.

Question	Continuation logic	Shift logic
What broke?	A prior swing in the direction of the move.	A swing that was supposed to hold for the prior trend to remain healthy.
What does it imply?	The trend may continue after a pullback or retest.	The prior sequence may be weakening or reversing.
How to use it	Look for pullback entries, breakout-retests, or continuation patterns.	Reduce conviction in the old bias until the new structure proves itself.

4) Range logic and dealing-range thinking

Many intermediate traders perform worse because they try to trend-trade inside a range. When price is contained between clear boundaries, think in terms of acceptance, rejection, and rotation rather than uninterrupted continuation.

- Edges matter more than the middle. The center of a range usually offers the worst reward-to-risk profile.
- A break outside the range is not enough by itself. Ask whether price holds outside the boundary or snaps back in.
- When a market rotates repeatedly, patient traders often wait for the edge or for a confirmed breakout and retest.

5) Intermediate playbooks

Playbook	Core idea	Checklist
Continuation pullback	Trade with the higher-timeframe trend after a pullback into a meaningful zone.	HTF bias clear; pullback shallow enough to preserve structure; LTF rejection or continuation trigger; room to target.
Breakout and retest	Trade a structural break only after the market proves it can hold the new side.	Level observed by market; clean break; retest holds; invalidation obvious; no immediate opposing wall.
Failed continuation / reversal	Trade only after the old trend fails at a meaningful protected swing and the new side shows follow-through.	Prior structure breaks; new side gains control; retest confirms; position size reduced until data supports the playbook.

6) Confluence scoring without curve-fitting

Confluence is useful only when it prevents bad trades. It becomes harmful when traders stack random signals to justify a trade they already want.

Filter	0 points	1 point	2 points
Context	Unclear state	Some directional bias	Strong HTF structure
Location	Middle of range/no level	Acceptable zone	Premium location at key zone
Trigger	No trigger	Basic trigger	Clean structural confirmation
Risk	Poor stop/target	Adequate	Excellent asymmetry and obvious invalidation
Execution quality	Late / emotional	Acceptable	Rule-based and timely

Practical rule. A scorecard is a filter, not an excuse. If the chart is unclear, the best score is still 'no trade.'

Expert track: from setups to systems

Expert TL;DR. At the expert stage, the chart is only one part of the edge. The real work is creating objective playbooks, surviving adverse conditions, controlling leverage and drawdown, and continuously reviewing execution data without rewriting history.

1) Think in regimes, not isolated candles

Advanced traders classify the environment before they classify the setup. The same pattern can behave very differently in a strong trend, a balanced range, an event-driven expansion, or a low-volatility compression phase.

Regime	Typical behavior	Expert adaptation
Strong trend	Impulses extend, shallow pullbacks, continuation works better than fading.	Favor with-trend entries, trail intelligently, avoid premature countertrend trades.
Balanced range	Rotational behavior, failed breakouts, mean-reversion pressure.	Trade edges, reduce expectations in the middle, demand clear acceptance before breakout trades.
Expansion / event day	Fast repricing, larger candles, slippage risk.	Cut size, widen structural stops if rules permit, or stand aside until conditions normalize.
Compression	Tight range, false starts, low follow-through.	Lower frequency, wait for clean release from balance, do not invent momentum that is not there.

2) Narrative and location

An expert does not need a dramatic story, but they do need a coherent explanation for why this location matters. Narrative can include higher-timeframe structure, session context, nearby liquidity, catalyst timing, volatility expansion, or repeated market memory at a level.

- Location should explain why the trade is being considered here instead of ten candles earlier or later.
- A narrative should narrow the trade universe, not rationalize a random idea.
- If a setup only looks good after the chart moves, it is analysis after the fact, not an edge.

3) Liquidity, failure points, and execution precision

Advanced discretionary traders often think in terms of where stops cluster, where price is likely to be tested, and where a structural failure becomes undeniable. Whether you use the word 'liquidity' or not, the practical question is the same: where is the market likely to probe, reject, or accept before revealing direction?

- Highs and lows that are obvious to everyone tend to attract attention, orders, and stop placement.
- A sweep alone is not a signal. What matters is what price does after the sweep: reject, accept, or continue.

- The best entries are often late enough to confirm structure and early enough to keep the stop efficient.
- Precision is not placing a stop one tick tighter. Precision is choosing the correct invalidation.

4) Build a playbook architecture

Playbook component	What must be written down
Context filters	Asset, session, higher-timeframe state, volatility condition, catalysts to avoid or embrace.
Structural rule set	What defines trend, range, continuation, failure, and invalidation for this setup.
Entry trigger	Exact signal: retest hold, rejection, close through a level, structural shift, or time-based trigger.
Risk protocol	Max risk, stop placement logic, scaling rules, take-profit model, max daily loss, and kill-switch criteria.
Review metrics	Win rate, average R, adherence score, drawdown, slippage notes, screenshots, and comments.

5) Measure the process like a professional

Metric	Why it matters	Expert reading
Expectancy	Shows whether the playbook is positive on average.	A low win rate can still be healthy if the average win is much larger than the average loss.
Average R	Normalizes results across instruments and position sizes.	Use R to compare setups objectively.
Max drawdown	Shows pain tolerance and survival risk.	Protect the ability to keep trading; large drawdowns damage decision quality.
Adherence score	Measures whether you followed the system.	A good loss can be a high-quality trade; a bad win can be a low-quality trade.
Trade frequency	Shows whether the system is selective or impulsive.	Too many trades often means standards are drifting.

6) Expert warnings

- Do not upscale size because a setup 'looks obvious.' Upsize only after verified data, stable execution, and controlled drawdowns.
- Do not overfit your playbook to recent charts. Robust rules survive different months and different volatility conditions.
- Do not confuse a larger target with a better trade. Asymmetry matters only if the target is structurally realistic.
- Do not rewrite charts in review. Screenshot the chart at entry, not after the outcome is known.

Risk management and trading psychology

Capital first. Leverage and margin can magnify gains, but they also magnify losses. The best technical read in the world can still fail. Survival is a feature of the strategy, not an afterthought.

1) Position sizing formula

A simple structural position-sizing model:

$$\text{Position size} = \text{account risk amount} / (\text{entry price} - \text{stop price adjusted for instrument value})$$

- Choose the dollar amount or account percentage you are willing to lose if the idea is invalidated.
- Place the stop beyond structure, then size the trade to match that stop distance.
- If the correct structural stop makes the size too large or too small for your plan, skip the trade or reduce risk.

2) Risk ladder

Risk Ladder



Risk management is not a separate module. It is built into idea selection, invalidation, size, and post-trade review.

Figure 5. Risk belongs inside idea selection, stop placement, size, management, and review.

- Keep risk small while learning. Small risk extends the feedback loop and protects the account from emotional damage.
- Set a maximum daily loss and a maximum number of consecutive losses before stopping for review.
- Account growth should lag skill growth. Increase size only after the process is stable, not after a lucky streak.

3) Psychological failure modes

Failure mode	What it looks like	Countermeasure
FOMO	Chasing candles after the move already left the planned entry.	Predefine entry zones and accept that missed trades are cheaper than

		forced trades.
Revenge trading	Trying to recover immediately after a loss.	Use a cooldown rule, replay the mistake, and cap daily losses.
Analysis paralysis	Endless chart marking with no actual rule set.	Reduce charts and write simple decision rules.
Recency bias	Assuming the next trade will behave like the last few trades.	Judge the setup by rules and stats, not memory alone.
Outcome bias	Calling a bad trade good because it won.	Score execution quality separately from P&L.

4) Checklist before going live

- At least several weeks of chart replay or simulated execution with screenshots.
- A written playbook for every setup traded.
- A fixed-risk model and clear daily stop rule.
- A review habit that scores adherence, not just money made.
- Proof that your process works across different dates, not only on hand-picked examples.

12-week development roadmap

Training TL;DR. The objective is not to finish quickly. The objective is to build a stable sequence: recognize structure, execute with rules, review honestly, and scale only when the data says the edge is real.

Phase	Weeks	Primary objective	Deliverables
Foundation	1–4	Recognize trend, range, zones, and invalidation with consistency.	Chart-marking practice, screenshots, basic journal, no unnecessary indicators.
Refinement	5–8	Add BOS/CHOCH logic, multi-timeframe alignment, and better entry selection.	Three written setup checklists, replay log, and quality scoring.
System build	9–12	Turn best setups into repeatable playbooks with stats and risk controls.	Playbook sheets, weekly review metrics, forward-test protocol, and size rules.

Weekly drill menu

- Mark 20 charts and label only the market state. Ignore entries until the state classification becomes fast and accurate.
- Replay 20 continuation examples and 20 range examples. Screenshot before you know the outcome.
- Take one setup family at a time. For example: only continuation pullbacks for an entire week.
- Review losing trades first. The fastest progress usually comes from execution errors, not from celebrating winners.

- Maintain one page of rules. If your playbook spills into endless exceptions, it is probably not yet ready.

Pre-trade checklist template

Question	Yes/No	Notes
Is the market state clear (trend, range, or transition)?	☐	
Have I marked the higher-timeframe structure and nearest major zones?	☐	
Is the trade location meaningful, not random?	☐	
Does the lower timeframe provide a valid trigger?	☐	
Is the invalidation level objective and structural?	☐	
Does the reward justify the risk, given nearby barriers?	☐	
Am I inside daily risk limits and mentally composed?	☐	

Post-trade review template

Field	Prompt
Setup name	Which playbook did this trade belong to?
Context	What was the higher-timeframe state and why did the location matter?
Trigger	What specifically caused the entry?
Invalidation	What price or zone proved the idea wrong?
Execution grade	Did I enter, size, and manage according to plan?
Outcome in R	What was the result relative to initial risk?
Lesson	What should be repeated, removed, or tightened?

Weekly review scorecard

Metric	Target / reflection
Number of trades	Was frequency consistent with the playbook, or was I forcing activity?
Adherence %	How many trades fully met the rules?
Best trade	Why was it a high-quality process trade?
Worst trade	Which rule failed first?
Average emotion level	Which emotions repeatedly appeared before mistakes?
One rule to tighten next week	Write the exact sentence that will improve next week's execution.

Final synthesis

The cleanest path from beginner to expert is not a straight line from simple to complicated. It is a path from vague observations to precise, written, testable rules.

- Beginners need clarity: identify the market state and stop trading noise.
- Intermediate traders need alignment: connect higher-timeframe structure, meaningful location, and a valid trigger.
- Expert traders need repeatability: define playbooks, control risk, review honestly, and scale only from evidence.

Bottom line. A chart becomes useful only when it improves a decision. If a concept does not improve entry quality, stop quality, size quality, or review quality, it is probably decoration rather than edge.

Selected references used to develop this framework

- Charles Schwab. How to Read Stock Charts and Trading Patterns (2025).
- Fidelity. What Is Support and Resistance? and related technical-analysis materials.
- U.S. Securities and Exchange Commission. Margin: Borrowing Money to Pay for Stocks; Investor Bulletin: Understanding Margin Accounts.
- Commodity Futures Trading Commission. Fraud Advisory: Foreign Currency (Forex) Fraud; Understand the Risks of Virtual Currency Trading.
- National Futures Association. Security Futures risk disclosure materials and member guidance on leverage and margin risk.
- CME Group. Technical Analysis course materials on trend, reversals, and support/resistance.
- ATAS. Understanding Market Structure and Market Structure Shift (MSS) (for practitioner terminology used by discretionary traders).

Definitions and labels differ across trading communities. This document uses practical working definitions intended to help traders create objective rules, not to promote one trading vocabulary over another.